

AI Governance Starter Framework

A practical template for businesses adopting AI for the first time

Why Governance Matters

As AI becomes central to business operations, governance ensures you harness its benefits while managing risks. Strong AI governance protects data, maintains trust, ensures compliance, and guides responsible decision-making. This framework is designed for teams just starting their AI journey.

5 Pillars of AI Governance

Data Privacy & Security: Protect customer and business data from unauthorized access or misuse in AI systems.

Transparency & Explainability: Ensure stakeholders understand how AI systems make decisions and why.

Bias & Fairness: Monitor and mitigate discriminatory outcomes in AI-driven processes.

Accountability & Oversight: Assign clear responsibility for AI system performance and outcomes.

Compliance & Legal: Meet regulatory requirements (GDPR, industry standards, local laws) in AI deployment.

Your AI Usage Policy Template

Adapt and adopt this template as your organization's AI policy. Share with all teams and stakeholders.

Approved Tools & Platforms

→ List AI tools your organization has approved for use. Include tools, vendors, and approved use cases.

Data Handling Rules

→ Specify: No sensitive customer data in external AI tools. Anonymize data before use. Document all data flows. Comply with data retention policies.

Review & Approval Process

→ New AI projects require approval from: IT/Security team, Department manager, Compliance officer. Review covers: data sources, outputs, impact on customers.

Incident Response

→ If an AI system produces harmful, biased, or inaccurate outputs: Stop use immediately. Notify compliance and affected stakeholders. Investigate root cause. Document learnings.

Employee Responsibilities

→ All employees must: Verify AI outputs before using them for decisions. Report misuse or harmful outputs. Complete AI literacy training. Ask questions in your team's AI channel.

AI Governance Checklist

Data Privacy & Security

- Data classification and inventory complete
- Data handling rules documented
- Security assessments done for AI tools

Transparency & Explainability

- AI systems document their decision logic
- Training data sources are documented
- Explainability tested with stakeholders

Bias & Fairness

- Bias testing plan for key AI systems
- Diverse teams involved in model evaluation
- Fairness metrics defined and tracked

Accountability & Oversight

- AI governance owner/team assigned
- Audit trail for AI decisions maintained
- Regular review process established

Compliance & Legal

- Regulatory requirements assessed
- Legal review of AI usage completed
- Documentation for compliance audits

Next Steps

- Assign an AI governance owner in your organization
- Customize this framework to your industry and context
- Socialize the policy across your organization
- Build it into your vendor evaluation and procurement process
- Review and update annually as AI evolves

Ready to build your AI governance strategy? Book a free 30-minute consultation at **freshcoastai.com/contact.html**